

The stop loss then will exit the position as price hit the stop loss. Advance orders are often placed with the broker that will sell the position as soon as the stop loss is hit. Stop losses help us limit the maximum losses that we can have in a position.

We may set it based on our percentage of loss also. For example, if we are investing ₹100 and we don't want to have a loss of more than 5%, so our stop loss will be at ₹95. This stop loss needs to be defined before entering the trade.

There are two major drawbacks with Stop losses:



THERE ARE TEMPORARY FALSE MOVEMENTS IN THE MARKET WHERE WE MAY LOSE MONEY DESPITE BEING RIGHT.

For instance, the price may be fluctuating from ₹100 to ₹98, ₹97, and for a few seconds come to ₹95 but then get back to ₹100.



SO, THESE ARE FALSE MOVES OF THE MARKET THAT MAY TRIGGER OUR STOP LOSS AND MAKE US EXIT THE TRADE.

In such a scenario, the broker as directed will exit the trade as it touches ₹95 mark and we will have losses. We incurred a loss despite being right due to false movements in the market.